

Jackson
Signature of Sponsor

AMEND Senate Bill No. 269*

House Bill No. 600

by deleting all language after the caption and substituting:

WHEREAS, packaging waste makes up nearly one-third of solid municipal waste with just twelve percent recycled, sending nine hundred thousand tons of recyclable packaging to landfills; and

WHEREAS, diversion and reuse of valuable recyclable materials instead of disposal in landfills increases domestic material supplies and enhances national security; and

WHEREAS, businesses in this State want and need the valuable materials that would otherwise be lost to landfills, litter, and incineration; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 68, Chapter 211, is amended by adding the following as a new part:

68-211-1201.

(a) This part is known and may be cited as the "Tennessee Waste to Jobs Act."

(b) It is the intent of the general assembly that this part affects the development and implementation of a comprehensive approach to addressing packaging waste in this state, to include:

(1) Creating jobs and providing a sustainable funding mechanism for the operation of local recycling systems, enabling investment in recycling infrastructure;

(2) Diverting recyclable packaging waste from rapidly filling landfills in this state;

(3) Recovering valuable materials that would otherwise be lost to landfills, litter, and incineration, while developing markets for these materials and supporting businesses building a circular economy in this state; and

(4) Engaging producers of packaging in the innovative reduction and reuse of packaging materials.

68-211-1202.

As used in this part:

(1) "Advisory board" means the producer responsibility program advisory board, established under § 68-211-1203;

(2) "Commissioner" means the commissioner of environment and conservation;

(3) "Compostable material" means a covered material that:

(A) Meets, and is labeled to reflect that it meets, the American Society for Testing and Materials (ASTM) standard in effect on July 1, 2026, and any successor standard, as the D6400 specification for labeling of plastics designed to be aerobically composted in municipal or industrial facilities;

(B) Meets, and is labeled to reflect that it meets, the ASTM standard in effect on July 1, 2026, and any successor standard, as the D6868 specification for labeling of end items that incorporate plastics and polymers as coatings or additives with paper and other substrates designed to be aerobically composted in municipal or industrial facilities;

(C) Is composed of only wood without any coatings or additives;

(D) Is composed of only paper without any coatings or additives;

and

(E) Is included on the minimum compostable materials list maintained under § 68-211-1204(a)(8);

(4) "Covered entity" means a person or location that receives covered services for covered materials in accordance with this part, including:

(A) A single-family residence;

(B) A multifamily residence;

(C) A school or other location where education or childcare is provided;

(D) A nonprofit corporation with annual revenue of less than thirty-five million dollars (\$35,000,000); and

(E) A state agency, political subdivision, public area, or other public entity or government unit;

(5) "Covered materials":

(A) Means packaging materials, except as provided in subdivision (5)(B); and

(B) Does not include:

(i) Packaging materials intended to be used for the long-term storage or protection of a durable product and that are intended to transport, protect, or store the product for at least five (5) years;

(ii) Packaging materials used in commercial, industrial, or manufacturing processes;

(iii) Subject to § 68-211-1213(a), packaging materials that are collected prior to receipt of the product by the consumer do not undergo separation from other materials at a commingled recycling processing facility, and are reused or recycled at a responsible end market;

(iv) Beverage containers subject to a future returnable container deposit not established by the producer responsibility organization;

(v) Packaging material used to contain a product that is regulated as a drug or medical device by the federal food and drug administration under the Federal Food, Drug, and Cosmetic Act, as amended (21 U.S.C. § 301 et seq.), or associated components and consumable medical equipment;

(vi) Packaging material used to contain a product that is regulated under the Virus-Serum-Toxin Act, as amended (21 U.S.C. § 151 et seq.);

(vii) Packaging material used to contain a product that is required to be sold in packaging material that meets the requirements of the Poison Prevention Packaging Act, as amended (15 U.S.C. § 1471 et seq.);

(viii) Packaging material used to contain a product that is regulated as infant formula, as defined in 21 U.S.C. § 321; as a medical food, as defined in 21 U.S.C. § 360ee(b); or as fortified nutritional supplements used for individuals who require supplemental or sole source nutrition to meet nutritional needs due to special dietary needs directly related to cancer, chronic kidney disease, diabetes, malnutrition, or failure to thrive, as those terms are defined by the world health organization's International Classification of Diseases, Tenth Revision (ICD-10), as amended or revised, or other medical conditions as determined by the department, after consultation with the advisory board, by rule;

(ix) Packaging products used to contain any substance regulated by the Federal Insecticide, Fungicide and Rodenticide Act (7 U.S.C. § 136 et seq.);

(x) Packaging for drugs, biological products, parasiticides, medical devices, or in vitro diagnostics that are used to treat, or that are administered to, animals and are regulated by the United States food and drug administration under the Federal Food, Drug, and Cosmetic Act, as amended (21 U.S.C. § 301 et seq.) and by the United States department of agriculture under the Virus-Serum-Toxin Act (21 U.S.C. § 151 et seq.);

(xi) Packaging used to contain hazardous or flammable products regulated under the 2012 federal occupational safety and health administration Hazard Communication Standard that prevents the packaging from being reduced or made reusable, recyclable, or compostable, as determined by the department; and

(xii) Any other material that the department exempts from coverage as covered material pursuant to § 68-211-1204(a)(11);

(6) "Covered services" means the services provided for the recovery, recycling, reuse, or composting of covered materials by local governments and other providers, including the collection, transportation, and processing of covered materials from the consumer to the end market, including curbside services, and drop-off centers;

(7) "De minimis producer" means a person that in their most recent fiscal year:

(A) Introduced less than one (1) ton of covered material into this state; or

(B) Earned global gross revenues of less than ten million dollars (\$10,000,000);

(8) "Department" means the department of environment and conservation;

(9) "Packaging materials":

(A) Means, regardless of recyclability, a part of a package or container, including material that is used for the containment, protection, handling, delivery, and presentation of a product that is sold, offered for sale, imported, or distributed in this state; and

(B) Includes:

(i) Primary, secondary, and tertiary packaging intended for the consumer market; and

(ii) Service packaging designed and intended to be filled at the point of sale, including carry-out bags, bulk goods bags, and take-out and home delivery food service packaging;

(10) "Producer":

(A) Except as provided in subdivision (10)(B), means the following person who is authorized to comply with this part for a covered material:

(i) For items sold in or with packaging at a physical retail location in this state:

(a) If the item is sold in or with packaging under the brand of the item manufacturer or is sold in packaging that lacks identification of a brand, then the producer is the person that manufactures the item;

(b) If there is no person to which subdivision (10)(A)(i)(a) applies, then the producer is the person that is

licensed to manufacture and sell or offer for sale to consumers in this state an item with packaging under the brand or trademark of another manufacturer or person;

(c) If there is no person to which subdivisions (10)(A)(i)(a) or (b) apply, then the producer is the brand owner of the item;

(d) If there is no person to which subdivisions (10)(A)(i)(a)-(c) apply within the United States, then the producer is the person who is the importer of record for the item into the United States for use in a commercial enterprise that sells, offers for sale, or distributes the item in this state; and

(e) If there is no person to which subdivisions (10)(A)(i)(a)-(d) apply, then the producer is the person that first distributes the item in or into this state;

(ii) For items sold or distributed in packaging in or into this state via e-commerce, remote sale, or distribution:

(a) For packaging used to directly protect or contain the item, the producer of the packaging is the same as if the items sold in or with packaging at a physical retail location in this state under subdivision (10)(A)(i); and

(b) For packaging used to ship the item to a consumer, the producer of the packaging is the person that packages the item to be shipped to the consumer; and

(iii) For packaging that is a covered material and for which a producer cannot be identified under subdivision (10)(A)(i) or

subdivision (10)(A)(ii), the producer of the packaging is the person that first distributes the item in or into this state;

(B) Does not include:

(i) A state, a federal or state agency, a political subdivision of a state, or other governmental unit;

(ii) A registered 501(c)(3) charitable organization or 501(c)(4) social welfare organization;

(iii) A de minimis producer;

(iv) A mill that uses any virgin wood fiber in the products it produces;

(v) A paper mill that produces container board derived from one hundred percent (100%) postconsumer recycled content and non-post-consumer recycled content;

(vi) A restaurant, food cart, or similar business establishment that primarily sells to members of the public food that is generally intended to be consumed immediately and without the need for further preparation, either on or off the premises, and that is not a producer of food serveware; or

(vii) A person who would otherwise be the producer of a covered material sold, offered for sale, or distributed in or into this state under subdivision (10)(A), if:

(a) Another person contracts with the person who would otherwise be a producer to assume responsibility for the producer's voluntary compliance with this part, that person has joined a registered PRO as the responsible producer, and the person who would otherwise be a

producer provides written certification of the contract to the PRO; or

(b) The person who would otherwise be a producer is a business operated wholly or in part as a franchise, in which case the franchisor is the producer if that franchisor has franchisees that have a commercial presence within the state;

(11) "Producer responsibility organization" or "PRO" means a nonprofit organization that is created by a group of producers to implement a producer responsibility plan;

(12) "Readily recyclable material" means a covered material that is included as a recyclable material on the minimum recyclable materials list maintained under § 68-211-1204(a)(8);

(13) "Recyclable" means a covered material that can technically and safely be recycled;

(14) "Recycling":

(A) Means the process of collecting and preparing recyclable materials and reusing the materials in their original form or using the materials in manufacturing processes that do not cause the destruction of recyclable materials in a manner that precludes further use; and

(B) Does not include:

(i) Use of covered materials for energy recovery or energy generation by means of combustion;

(ii) Use of covered materials as, or in production of, a fuel or fuel component; or

(iii) Disposal of discarded covered materials in a landfill, including use as alternative daily cover;

(15) "Refill" means the continued use of a covered material by a consumer through a system that is:

(A) Intentionally designed and marketed for repeated filling of a covered material to reduce demand for new production of the covered material;

(B) Supported by adequate logistics and infrastructure to provide convenient access for consumers; and

(C) Compliant with all applicable federal, state, and local statutes, rules, ordinances, and other laws governing health and safety;

(16) "Responsible end market" means a materials market that:

(A) Reuses, recycles, composts, or otherwise recovers materials and disposes of contaminants in a manner that protects the environment and minimizes risks to public health and worker health and safety;

(B) Complies with all applicable federal, state, and local statutes, rules, ordinances, and other laws governing environmental, health, safety, and financial responsibility;

(C) Possesses all requisite licenses and permits required by a federal or state agency or political subdivision; and

(D) If it operates in this state, manages waste according to the waste management goal and priority order of waste management practices stated in the Solid Waste Management Act, compiled in part 8 of this chapter;

(17) "Reusable" means capable of reuse;

(18) "Reuse" means the return of a covered material to the marketplace and the continued use of the covered material by a producer or service provider when the covered material is:

(A) Intentionally designed and marketed to be used multiple times for its original intended purpose without a change in form;

(B) Designed for durability and maintenance to extend its useful life and reduce demand for new production of the covered material;

(C) Supported by adequate logistics and infrastructure at a retail location, by a service provider, or on behalf of or by a producer, that provides convenient access for consumers; and

(D) Compliant with all applicable federal, state, and local statutes, rules, ordinances, and other laws governing health and safety; and

(19) "Service provider" means a person who provides covered services.

68-211-1203.

(a) The commissioner shall appoint a producer responsibility program advisory board.

(b) The advisory board is administratively attached to the department; provided, that the department may select an impartial, third-party facilitator to convene and provide administrative support to the advisory board.

(c) The commissioner shall not appoint registered lobbyists to the advisory board.

(d) The membership of the advisory board must represent all geographic regions of this state, including urban and rural counties and municipalities. The advisory board consists of the following twenty-four (24) members:

(1) Three (3) voting members representing local governments in this state;

(2) One (1) voting member representing materials recovery facilities;

(3) One (1) voting member representing covered service providers;

(4) One (1) voting member representing environmental nonprofit organizations;

(5) One (1) voting member representing community-based nonprofit organizations working in the area of solid waste;

(6) One (1) voting member representing a trade association or chamber of commerce, or other business advocacy organization representing businesses that are headquartered in this state;

(7) One (1) voting member representing glass packaging material suppliers that is not a producer;

(8) One (1) voting member representing plastics packaging material suppliers that is not a producer;

(9) One (1) voting member representing fiber packaging material suppliers that is not a producer;

(10) One (1) voting member representing metals packaging material suppliers that is not a producer;

(11) One (1) voting member who has experience representing underserved communities;

(12) One (1) voting member representing a solid waste landfill or transfer station operating an onsite, public-facing recycling collection program;

(13) One (1) voting member representing durable goods manufacturing that is not a producer;

(14) One (1) voting member representing retail and food services that is not a producer;

(15) One (1) voting member representing an entity that develops or offers for sale covered materials that are designed for reuse and maintained through a reuse system or infrastructure or a statewide or national trade association that represents such entities;

(16) One (1) voting member representing an entity that develops or offers for sale covered materials that are designed for refill and maintained through a

refill system or infrastructure or a statewide or national trade association that represents such entities;

(17) One (1) voting member representing large-size producers of consumer packaged goods that are subject to this part. In making the appointment required by this subdivision (d)(17), the commissioner, in the commissioner's discretion, shall determine the qualifications for large-size producers;

(18) One (1) voting member representing producers of small or mid-size consumer packaged goods that are subject to this part. In making the appointment required by this subdivision (d)(18), the commissioner, in the commissioner's discretion, shall determine the qualifications for small and mid-size producers;

(19) One (1) voting member representing retailers or brand owners that introduce covered materials into the marketplace;

(20) One (1) voting member representing agricultural producers in this state that introduce covered materials into the marketplace;

(21) The commissioner, or the commissioner's designee, who serves as a nonvoting member; and

(22) One (1) voting member representing a PRO.

(e) The commissioner shall appoint the initial advisory board members by December 31, 2026. In making appointments to the advisory board, the commissioner shall strive to ensure that the makeup of the advisory board reflects and represents the demographic diversity of persons in this state.

(f) The terms for appointed members of the advisory board are four (4) years.

(g) In making the initial appointments, the members appointed pursuant to subdivisions (d)(2)-(9), (15), (17), (19), and (22) are appointed for four-year terms, and the members appointed pursuant to subdivisions (d)(1), (10)-(14), (16), (18), and (20)

are appointed for two-year terms. Thereafter, all appointments are for the full four-year term. In the event of a vacancy, the commissioner shall fill the vacancy for the unexpired term.

(h) After all initial appointments to the advisory board are made, but no later than June 30, 2027, the commissioner, or the impartial third-party facilitator selected under subsection (b), shall call the first meeting of the advisory board. At the first meeting, and at the first meeting of each year ending in an even number thereafter, the advisory board shall elect from among its appointed members a chair, vice chair, and any other officers deemed necessary.

(i) After the first meeting of the advisory board, the advisory board shall meet at the call of the chair and not less than two (2) times per year.

(j) Meetings of the advisory board must comply with the open meeting requirements of title 8, chapter 44.

(k) All records of the advisory board are public records for purposes of the public records law, compiled in title 10, chapter 7.

(l) All reimbursement for travel expenses must be in accordance with the comprehensive travel regulations as promulgated by the department of finance and administration and approved by the attorney general and reporter. All members of the advisory board serve without compensation but are eligible for reimbursement of necessary traveling and other appropriate expenses while engaged in the work of the advisory board.

(m) If an appointed member is absent from more than two (2) consecutive meetings of the advisory board without good cause, then a vacancy is created.

(n) The advisory board shall:

(1) Advise the PRO throughout the needs assessment process, as described in § 68-211-1206(a), and review the needs assessment;

(2) Advise the PRO on the development of producer responsibility plan proposals, as described in § 68-211-1206(b);

(3) Review the producer responsibility plan proposal submitted to the department under § 68-211-1205(c)(4), and recommend that the department approve or reject the proposal;

(4) Review an individual producer responsibility program plan proposal submitted to the department under § 68-211-1209, and recommend that the department approve or reject the proposal within three (3) months of receiving the plan from the department; and

(5) Review the annual reports required by § 68-211-1207 and recommend to the PRO and the department any program amendments that are needed.

68-211-1204.

(a) The department shall:

(1) Review applications from prospective PROs. If applications from more than one (1) PRO are submitted, then the department shall determine which proposed PRO can most effectively implement this part. The department may permit and approve additional PRO applicants if they provide unique ability to manage a defined subgroup of covered materials;

(2) When determining whether to approve a PRO, consider whether the PRO:

(A) Has a governing board consisting of producers that represent a diversity of covered materials introduced; and

(B) Demonstrates adequate financial responsibility and financial controls to ensure proper management of funds;

(3) Consult with the PRO and the advisory board in the development of the producer responsibility plan proposal;

(4) Approve or reject a producer responsibility plan proposal submitted to the department under § 68-211-1205(c)(4) within four (4) months of receiving the advisory board recommendation;

(5) Approve or reject an individual producer responsibility plan proposal submitted to the department under § 68-211-1209 within four (4) months of receiving the advisory board recommendation;

(6) Review the annual reports required by § 68-211-1207;

(7) Administer, review, oversee, and enforce the producer responsibility plan;

(8) By June 30, 2028, and at least annually thereafter or upon the receipt of a request that includes supporting information addressing criteria, review and update minimum recyclable and compostable materials lists that consider the availability of recycling and composting services for each material, taking into consideration the impact of:

(A) Capacity and new innovative technologies for sorting and collection;

(B) Whether a material type and form are regularly sorted and aggregated for recycling purposes; and

(C) The availability of viable responsible end markets;

(9) Within two (2) months of receiving an application for a PRO, approve or reject the application. The department shall select the initial PRO by December 31, 2026. Upon selection of a PRO, the department shall provide written notice to the PRO of the estimated cost to the department in performing its duties through June 30 for the current fiscal year;

(10) Beginning July 15, 2027, and annually thereafter, provide written notice to approved PROs of the department's estimates of the cost required to perform the department's duties through June 30 for the current fiscal year; and

(11)

(A) Consider requests submitted by producers to exempt materials from the requirements of this part for covered materials. Prior to granting an exemption under this subdivision (a)(11), the department shall:

(i) Consider relevant criteria, including, but not limited to, financial and operational impacts, detrimental impacts to recycled materials resulting from contamination, and induced hazards to workers and infrastructure; and

(ii) Consult with the advisory board before granting the exemption;

(B) An exemption granted under this subdivision (a)(11) expires five (5) years from the date the extension takes effect. The department may renew an exemption for an additional five-year period contingent on the development of recycling infrastructure; and

(C) A producer of materials that are exempt under this subdivision (a)(11) must register with the commissioner and annually report to the department data concerning such exempt materials, as determined by the department.

(b) The commissioner shall:

(1) By October 15, 2032, and every two (2) years thereafter, submit a report to the governor, to all members of the senate energy, agriculture and natural resources committee, and all members of the committee of the house of representatives with subject jurisdiction over solid waste. The report must contain:

(A) A summary of the implementation and administration of this part;

(B) A summary of the most current needs assessment described in § 68-211-1206(a);

(C) An internet link to a universal resource locator or other internet address where the reports filed under § 68-211-1207 are published;

(D) Recommendations for policy, statutory, or regulatory changes to the producer responsibility program;

(E) An analysis of the impacts of exempting certain materials from the definition of covered materials and of exempting certain persons from the definition of producer; and

(F) Any other information the commissioner deems to be relevant; and

(2) Promulgate rules necessary to implement and administer this part.

All rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

68-211-1205.

(a) A producer may establish a PRO.

(b) The governing body of the PRO may apply for approval to the department describing how the PRO meets the criteria to be an approved PRO by submitting the following:

(1) Contact information for a person responsible for implementing an approved producer responsibility plan;

(2) A list of current member producers that have entered into written agreements to operate under an approved producer responsibility plan administered by the PRO;

(3) A plan for recruiting additional member producers and executing written agreements confirming producers will operate under an approved producer responsibility plan administered by the PRO;

(4) A list of current board members and the executive director, if different than the person identified pursuant to subdivision (b)(1);

(5) Documentation demonstrating adequate financial responsibility and financial controls to ensure the proper management of funds; and

(6) Payment of an implementation fee set by rule of the commissioner.

(c) The PRO shall:

(1) Facilitate at least one (1) needs assessment, as described in § 68-211-1206, every five (5) years. The needs assessment may be conducted by an independent third party approved by the department using a consultation process to obtain recommendations from the advisory board, local governments, service providers, PROs, and other interested parties regarding the type and scope of information that should be collected and analyzed in the needs assessment. The PRO may use existing national data and studies in the needs assessment;

(2) Engage with local governments to increase participation under this part;

(3) Consult with the advisory board and the department in the development of the producer responsibility plan proposal;

(4) Submit a producer responsibility plan proposal that covers a period of five (5) years to the department and the advisory board; and

(5) Operate and administer the department-approved producer responsibility plan as the producer responsibility program.

(d) A producer may be a member of a PRO approved in this state.

(e) By December 31, 2027, a PRO shall submit the preliminary results of a needs assessment to the department and the advisory board.

(f) By June 30, 2028, a PRO shall submit the results of the initial needs assessment to the department and the advisory board.

(g) By June 30, 2029, a PRO shall submit an initial producer responsibility plan proposal to the department and the advisory board. When approved by the department, the PRO shall begin implementation of the producer responsibility plan within six (6) months of approval.

68-211-1206.

(a) The needs assessments required under § 68-211-1205(c)(1) must include:

(1) The service availability, capacity, performance, and gaps in the reuse, composting, and recycling services provided to covered entities throughout this state and the prices paid for reuse, composting, and recycling services;

(2) The documented cost of reuse, composting, and recycling services incurred by public and private service providers to provide recycling services;

(3) The processing capacity of existing infrastructure, the additional infrastructure needed to meet or exceed the recycling, reuse, and composting levels set by the producer responsibility plan proposal, and opportunities for the use of innovative new technologies for sorting and collection to improve that capacity;

(4) An assessment of the level and causes of contamination of source-separated recyclable materials, source-separated compostable materials, and collected reusables, and the impacts of contamination on service providers, including the cost to manage that contamination;

(5) An evaluation of the opportunities and costs of various service methods to increase reuse, composting, and recycling rates overall;

(6) The education needs in this state pertaining to composting, reuse, and recycling; and

(7) Assessment and identification of materials for recommendation for inclusion on the minimum recyclable and compostable materials lists maintained under § 68-211-1204(a)(8).

(b) The producer responsibility plan proposal required under § 68-211-1205(c)(4) must:

(1) Include a list of participating producers;

(2) Describe how the producer responsibility plan proposal may address and implement the findings of the needs assessment in a fair and balanced manner;

(3) Provide a financing mechanism in accordance with subsection (c) that may support, to the extent possible, that recycling and composting services for materials listed on the minimum recyclables and compostables lists are as convenient as mixed municipal solid waste collection;

(4) Describe how staffing and administering the implementation of the producer responsibility plan may be handled;

(5) Describe the manner in which the PRO solicited and considered input from stakeholders;

(6) Describe how the PRO will track compliance amongst producers and will bring producers into compliance;

(7) Establish a financing mechanism based on PRO dues, as described in subsection (c), which may include the following components:

(A) Varied PRO dues based on:

(i) The quantity of covered materials a producer sells, distributes, or imports in this state;

(ii) Whether or not the covered materials are reusable, compostable, or readily recyclable, which determination must account for associated impacts as well as the extent to which

recycling or composting services for a covered material are accessible to the consumer; and

(iii) The use of recycled content in covered materials so that dues are lower for producers who use covered materials that contain higher amounts of recycled content than other producers;

(B) Prioritize reuse by charging covered materials that are managed through a reuse system only once, upon initial entry into the marketplace;

(C) Reduce the amount of packaging per individual covered material that is necessary to efficiently deliver a product without damage or spoilage and without reducing its ability to be recycled;

(D) Incentivize using sustainable packaging design and reduce waste, helping to conserve natural resources while fostering innovation;

(E) Prohibit the use of PRO dues for lobbying; and

(F) Other components that minimize the financial burdens on producers and consumers while achieving measurable environmental results;

(8) Describe the strategy for reducing the quantity of covered materials in this state, including how producers participating in a producer responsibility plan may work together to reduce packaging through product design and program innovations;

(9) Describe the strategy for increasing packaging reuse in this state, including how producers may work together to design and implement innovative reuse processes;

(10) Describe the strategy for increasing packaging composting in this state, as appropriate and technologically feasible for certain covered materials;

(11) Describe performance standards for recycling, composting, and reuse service providers as applicable to the service provided, including, but not limited to the quality of collected covered materials based upon the service provided;

(12) Describe how the program may reimburse service providers under an approved producer responsibility plan, including, but not limited to, a description of:

(A) How the program may provide a methodology to calculate differentiated reimbursement rates as provided under subsection (c);

(B) A process for service providers to submit invoices and be reimbursed for recycling, composting, or reuse services; and

(C) Clear and reasonable timelines for reimbursement, at intervals no longer than monthly unless agreed to by a service provider and a PRO;

(13) Describe the actions taken or that may be taken for public outreach, education, and communication concerning the recycling, reuse, or composting of covered materials;

(14) Describe the process by which recycling, reuse, or composting service providers may request reimbursement for costs associated with transporting, collecting, and processing covered materials that are identified in the producer responsibility plan;

(15) Describe how the PRO may work with recycling, reuse, and composting service providers to utilize and expand on existing recycling, reuse, and composting service providers and infrastructure to the greatest extent possible, including, but not limited to:

(A) If the PRO intends to develop new collection and recycling infrastructure, it must state why and how this may impact the existing

infrastructure and how it may impact collection and recycling of covered materials on a statewide basis; and

(B) Describe how a PRO will use competitive bidding processes for infrastructure investments included in an approved producer responsibility plan;

(16) Describe how covered materials may be collected and processed in a manner that retains their value for their highest use;

(17) Describe how the plan may provide or facilitate the deployment of innovative recycling and reuse systems within a recycling center or materials recovery facility that utilizes innovative technology to improve the identification and sorting of covered materials, where feasible;

(18) Describe how the plan may utilize innovative technologies to improve data collection of covered materials collected and processed and the disposition of such materials throughout the materials recovery facility or recycling center;

(19) A description of how producers can purchase postconsumer materials from service providers at market prices if the producer is interested in obtaining recycled feedstock to achieve minimum postconsumer recycled content performance targets;

(20) A description of how the PRO has engaged with nonparticipating local governments to facilitate and encourage participation under the producer responsibility plan;

(21) A description of how local governments may begin operating under an existing producer responsibility plan; and

(22) Include additional information as required by the advisory board and the department.

(c) The PRO may charge each member producer dues according to each producer's unit-, weight-, volume-, or sales-based market share, or by another method the PRO determines to be an equitable determination of each producer's payment obligation, so that the aggregate dues charged to member producers is sufficient to pay the commissioner's estimated costs under § 68-211-1204(a)(9) and (10) in full.

(d) In implementing the approved producer responsibility plan, the PRO may use a financing method that:

(1) Provides a methodology for reimbursement rates for covered services and for covered materials, exclusive of exempt materials. The methodology for reimbursement rates must consider estimated revenue received by service providers from the sale of covered materials based upon relevant material indices and incorporate relevant cost information identified by the needs assessment. Reimbursement rates must be annually updated and reflect the net costs for covered services for covered materials from covered entities, at a minimum. Reimbursement rates must be established equivalent to net costs as established by a methodology in an approved plan;

(2) Calculates reimbursement rates per ton, by household, or by another appropriate unit of measurement;

(3) Provides a formula for reimbursement rates for recycling, composting, or reuse services for covered materials. Reimbursement rates must be established equivalent to net costs pursuant to the methodology required by subdivision (d)(1) for reasonable covered services costs;

(4) Bases reimbursement rates on the following, as applicable by the service provided:

(A) The cost to collect covered material for recycling, a proportional share of composting, or reuse adjusted to reflect conditions

that affect those costs, varied by region or jurisdiction in which the covered services are provided, including, but not limited to:

- (i) The number and type of covered entities;
 - (ii) Population density;
 - (iii) Collection methods employed;
 - (iv) Distance traveled by collection vehicles to consolidation or transfer facilities; to reuse, recycling, or composting facilities; and to responsible end markets;
 - (v) Other factors that may contribute to regional or jurisdictional cost differences;
 - (vi) The proportion of covered compostable materials within all source-separated compostable materials collected or managed through composting; and
 - (vii) The general quality of covered materials collected by service providers;
- (B) The cost to transfer collected covered materials from consolidation or transfer facilities to reuse, processing, recycling, or composting facilities or to responsible markets to the extent not previously factored in under subdivision (c)(4)(A)(iv);
- (C) The cost to:
- (i) Sort and process covered materials for sale or use and remove contamination from covered materials by a recycling or composting facility, less the average fair market value for that covered material based on market indices for the region; and
 - (ii) Manage contamination removed from collected covered material;

(D) The costs of covered services for a refill system or covered services provided for reusable covered materials and management of contamination; and

(E) Administrative costs of service providers, including education, public awareness campaigns, and outreach program costs, as applicable.

(e) A producer responsibility organization must describe a dispute resolution process utilizing third-party mediators for disputes related to reimbursements.

(f) The PRO shall establish performance goals for each covered material type at five-, ten-, and fifteen-year rolling intervals and demonstrate continual improvement in reducing environmental impacts and human health impacts of covered materials over time. The performance goals must be informed by the needs assessment, PRO experience and knowledge and include postconsumer recycled content goals, recyclability and recycling rate goals, reuse goals, packaging reduction goals, composting goals, contamination reduction rate goals, and any other goals required by the advisory board or the department. The PRO shall review existing rates and dates for performance goals from other programs to use in establishing a minimum that aims to exceed the national average.

(g) This part does not prohibit a PRO from establishing alternative systems as a strategy for increasing the capture and reuse or recycling of covered materials.

(h) A producer responsibility plan expires five (5) years from the date that the department approves the plan, unless the plan is renegotiated, renewed, or amended and approved by the department.

68-211-1207.

(a) The PRO shall annually report to the department and the advisory board on the progress toward meeting producer responsibility plan requirements and goals for the immediately preceding year.

(b) The progress report required by subsection (a) must include:

- (1) A detailed description of the reimbursement methods used for collecting, transporting, and processing covered materials;
- (2) The status of achieving the performance goals established under § 68-211-1206(f), and if the goals have not been achieved, a description of the actions proposed to achieve the goals;
- (3) The amount of each covered material type collected in this state, including the method of disposition of each covered material type;
- (4) The amount of each collected covered material type exported from this state for processing broken down by destination and disposition;
- (5) The amount and disposition of each covered material not recycled as a result of excessive contamination;
- (6) The total cost of implementing the producer responsibility plan, as determined by an independent financial auditor;
- (7) Samples of all educational materials provided to consumers or other entities pursuant to this part;
- (8) A detailed description of the actions taken, and an evaluation of the methods used, to disseminate educational materials, including recommendations, if any, for how the educational component of the producer responsibility plan can be improved;
- (9) A detailed description of investments made in market development for improving reuse, contamination reduction, and recycling infrastructure;
- (10) A copy of a financial audit of program operations conducted by an independent auditor;
- (11) Changes to the PRO dues structure; and
- (12) Other information as required by the advisory board or the department.

(c) A PRO shall maintain a website that uses best practices for accessibility and contains at a minimum contact information for the PRO, PRO reports, needs assessments, educational materials, and any other information required by the department.

68-211-1208.

(a) Beginning July 1, 2029, service providers seeking reimbursement for services provided under an approved producer responsibility plan according to § 68-211-1206 must register with the commissioner by submitting the following information:

- (1) The contact information for a person representing the service provider;
- (2) The address of the service provider; and
- (3) If applicable to services provided, a report of the total amount billed for collection for covered entities, processing services, and transfer station operations provided during the preceding calendar year and, when possible, values must be separated for collection, transfer, and processing.

(b) The reimbursements provided to service providers under § 68-211-1206, under an approved producer responsibility plan, must only be provided to service providers that meet the performance standards established under an approved producer responsibility plan.

68-211-1209.

(a) As an alternative method for participating in the producer responsibility program, a producer may submit to the department an individual producer responsibility program plan proposal if they provide a unique ability to manage a defined subgroup of covered materials, and if the producer notifies the department of its intent to submit an individual plan. An individual producer responsibility program plan proposal must:

- (1) Comply with § 68-211-1206(b);

(2) Describe how the producer participating in the individual program will contribute to the department's cost of overseeing the program; and

(3) Describe any alternative collection programs operated by the producer and their recycling, reuse, or composting rates.

(b) The producer must report annually in compliance with the requirements of § 68-211-1207.

(c) The advisory board shall review an individual producer responsibility program plan proposal submitted under subsection (a) and make a recommendation concerning approval of the proposal to the department.

68-211-1210.

(a) The department may rescind approval for a PRO producer responsibility plan or individual producer responsibility program plan at any time for good cause. If the department rescinds a plan, the PRO or individual producer may amend and resubmit the plan for approval.

(b) If, based upon the annual report, goals have not been met, the department may require the PRO to amend the producer responsibility plan or a producer to amend its individual producer responsibility program plan.

68-211-1211.

A PRO that arranges collection, recycling, composting, waste reduction, or reuse services under this part may engage in anticompetitive conduct to the extent necessary to plan and implement collection, recycling, composting, waste reduction, or reuse systems to meet the obligations under this part and is immune from liability under state laws relating to antitrust, restraint of trade, and unfair trade practices.

68-211-1212.

This part must not be construed to require a local government to agree to operate under a producer responsibility plan, nor does it restrict the authority of a local government to provide waste management services to residents or to contract with any

entity to provide waste management services. A local government that is also a service provider is eligible to be registered with the commissioner and reimbursed at the rates and schedule established in accordance with an approved producer responsibility plan.

68-211-1213.

(a) A producer who claims that package materials are not covered materials under § 68-211-1202(5)(B)(iii) must report the type, quantity, and disposition of the materials to the department annually.

(b) A service provider must provide its PRO with data necessary to complete the needs assessment and reports required by this part upon request of the PRO.

68-211-1214.

In addition to the requirements of §§ 68-211-1206(c) and 68-211-1209(a)(2), the PRO and producers operating under an individual producer responsibility program must reimburse this state for all expenses incurred by the department and any other government agency of this state in the implementation and administration of this part. The reimbursement required by this section must be paid from dues, when applicable.

SECTION 2. Tennessee Code Annotated, Section 4-29-249(a), is amended by inserting the following as a new subdivision:

() Producer responsibility program advisory board, created by § 68-211-1203;

SECTION 3. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 4. For purposes of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2026, the public welfare requiring it.